

**University of Minnesota - Twin Cities**

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**Curriculum Vitae  
Fall 2026****Sauhard Srivastava****Personal Data***Address*

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**Major Fields of Concentration**

Macroeconomics, International Economics, Monetary Economics, Macro-Finance, Energy and Environmental Economics

**Education**

| Degree     | Field     | Institution                                          | Year |
|------------|-----------|------------------------------------------------------|------|
| PhD        | Economics | University of Minnesota (expected)                   | 2027 |
| MA         | Economics | University of Minnesota                              | 2024 |
| MSc        | Economics | The London School of Economics and Political Science | 2019 |
| BA (Hons.) | Economics | Shri Ram College of Commerce, University of Delhi    | 2018 |

**Dissertation**

Title: “Essays in Open Economy Macroeconomics”

Dissertation Advisor(s): Professor Manuel Amador

Expected Completion: Summer 2027

**References**

| Reference Name          | Email / Contact Info                                           | Address                                                                                           |
|-------------------------|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| Professor Manuel Amador | amador@umn.edu<br>(612) 624-4060                               | Department of Economics, University of Minnesota, 4-101 Hanson Hall, Minneapolis, Minnesota 55455 |
| Dr. Javier Bianchi      | javier.i.bianchi@gmail.com<br>Monetary Advisor                 | Federal Reserve Bank of Minneapolis, 90 Hennepin Avenue, Minneapolis, Minnesota 55401             |
| Dr. Neil Mehrotra       | neil.r.mehrotra@gmail.com<br>Asst. Vice Pres. & Policy Advisor | Federal Reserve Bank of Minneapolis, 90 Hennepin Avenue, Minneapolis, Minnesota 55401             |

## Honors and Awards

2022–2023      *Bert and Susan Hill Gross Fellowship*, Department of Economics, University of Minnesota, Minneapolis, Minnesota.

## Research Experience

2023–Present      *Research Analyst*, Federal Reserve Bank of Minneapolis, Minneapolis, Minnesota. Research Assistant to Neil Mehrotra in the Economic Analysis Group.

2020–2021      *Research Assistant*, Strategic Research Unit, Reserve Bank of India (RBI), Mumbai, India.

2019      *Research Intern*, Outreach and Planning Unit, United Nations Development Programme, New Delhi, India.

## Teaching Experience

Summer 2023      *Instructor*, Department of Economics, University of Minnesota, Minneapolis, Minnesota. Course: Money and Banking. Average Instructor rating: 6/6.

2022–2023      *Teaching Assistant*, Department of Economics, University of Minnesota, Minneapolis, Minnesota. Course: Principles of Microeconomics. Average Instructor rating: 4.95/6.

2021–2022      *Teaching Assistant*, Department of Economics, University of Minnesota, Minneapolis, Minnesota. Grader for Courses: Public Economics, Cost-Benefit Analysis.

2018–2019      *Graduate Teaching Assistant*, Department of Economics, The London School of Economics and Political Science, London, U.K. Course: Economics A: Microeconomics (Instructors: Prof. Alan Manning, Prof. Rachel Ngai). Average Instructor rating: 4.05/5.

## Publications

Srivastava, S. (2026). “Financial Frictions, FX Reserves, and Exchange Rate Management with Local-Currency Debt.” *Journal of International Economics*, 162, Article 104282.

*Presented by me*: Midwest Macroeconomics Meeting (May 2026), UMN-UW International Macro Student Workshop (September 2024), Minneapolis Fed EA Group Seminar (September 2024), UMN Sandor Poster Conference (April 2024).

Ghosh, S., Nath, S. and Srivastava, S. (2023). “Productivity and real exchange rates for India: does Balassa-Samuelson effect explain?” *Indian Growth and Development Review*, 16(1), 41-73.

*Presented by co-author*: RBI DEPR Research Colloquium (June 2021).

Nath, S. and Srivastava, S. (2022). “Labour Disputes and the Manufacturing Sector’s Growth: Recent Evidence from Indian States.” *Theoretical Economics Letters*, 12(3), 636-663.

## Working Papers

Srivastava, S. (2026). “Import Price Shocks, FX-Monetary Policies, and Real Income Stabilization” (**Job Market Paper**)

*Presented by me*: HHEI Alumni Conference (July 2026), UMN-UW International Macro Student Workshop (April 2026), Minneapolis Fed EA Group Seminar (March 2026).

Mehrotra, N. and Srivastava, S. (2025). “The Transition to Net Zero in a Small Open Economy”

*Presented by co-author*: RIDGE International Macro (December 2025), BSE Summer Forum (June 2025).

Srivastava, S. (2025). “The Price of Quality: Demand-Driven Technology Choice and the Penn Effect”

## Work in Progress

“Expectation-Driven Asset Booms and Consumption Inequality”

“Capacity Targets, Reliable Generation, and the Macroeconomics of India’s Power Transition”

## Computer Skills

MATLAB, Julia, Python, Stata, EViews, LaTeX

## Languages

English (fluent), Hindi (native)

## Abstract(s)

**Srivastava, S.** “Import Price Shocks, FX-Monetary Policies, and Real Income Stabilization” (**Job Market Paper**)

We characterize optimal exchange rate and monetary policies in a heterogeneous-agent, import-dependent economy facing essential-import price spikes and subject to the Marshall-Lerner condition. With some households borrowing constrained, a laissez-faire exchange rate response is costly: a concurrent depreciation amplifies their current income losses. Optimal policy instead intervenes in FX markets to lean against such depreciations and boost real incomes through indirect income effects. Exchange rate management becomes a real-income stabilization tool, driving interest parity wedges to cut import price co-movement with exchange rates and exports while accepting more volatile capital flows. Monetary policy distorts the labor wedge, complementing FX operations with a tighter-than-conventional stance. Their roles are not substitutable: interest parity limits monetary policy’s real income protection. In a monetary economy, higher real incomes arrive as lower inflation: exchange rate policy becomes an anti-inflation policy; our quantitative energy shocks model shows it fights imported inflation more effectively than monetary policy.

**Srivastava, S.** “Financial Frictions, FX Reserves, and Exchange Rate Management with Local-Currency Debt” *Journal of International Economics*, Vol. 162, Article 104282, August 2026.

Emerging economy central banks often hold large FX reserves while residents carry substantial local-currency-linked external liabilities. With financial frictions creating interest parity gaps, such opposing positions imply a carry cost. In a small open economy with intermediation frictions and inherited local-currency debt, we study optimal reserve and exchange rate policies, explaining why debtor economies may retain reserves rather than netting out costly gross positions. While policy can eliminate costly intermediation by deploying reserves and appreciating the real exchange rate, doing so creates a general equilibrium revaluation effect which raises the real burden of local-currency obligations. Optimal policy retains reserves, accepting some intermediation to avoid a larger revaluation loss. This policy is time-inconsistent: a discretionary central bank prefers stronger ex-post appreciation; a time-consistent equilibrium features more reserve retention and larger interest parity gaps. Revaluation costs restrain reserve deployment; when large, optimal policy retains more reserves during disruptions than in normal times.

**Mehrotra, N. and Srivastava, S.** “The Transition to Net Zero in a Small Open Economy”

This paper examines the macroeconomic cost and implications of transitioning to net zero for a fossil-fuel-dependent, small open economy. A net zero target operates as an anticipated negative productivity shock that lowers consumption, raises the current account surplus along the transition path, and has ambiguous effects on the real exchange rate. A transition to net zero appreciates the currency by lowering the import bill for fossil fuels, but depreciates the currency by making domestic tradables more expensive. We calibrate the model to the case of Japan and find that the transition to net zero lowers consumption by 0.2-2%.

**Srivastava, S.** “The Price of Quality: Demand-Driven Technology Choice and the Penn Effect”

This paper proposes a demand-side explanation for the Penn effect: the observation that richer countries systematically exhibit higher price levels. We develop a general equilibrium model where income-dependent preferences lead more productive countries to produce and consume higher-quality, more resource-intensive non-tradeable goods. Our key result is that this endogenous shift toward producing superior goods, which have higher unit factor requirements, outweighs the standard cost-reducing effects of productivity growth, resulting in higher prices. The model shows that quality upgrading emerges as an equilibrium response to rising incomes and leads to higher non-tradeable prices in richer economies even in the absence of Harrod-Balassa-Samuelson (HBS) effects. Using Penn World Table data, the model replicates the empirical Penn effect, explaining about 69 percent of cross-country price variation without relying on HBS effects.